



Regence

Regence BlueShield serves select counties in the state of Washington
and is an Independent Licensee of the Blue Cross and Blue Shield Association
1800 Ninth Avenue | PO Box 21267 | Seattle, WA 98111-3267

October 2015

1730 WW021858-STAND

4889

RADIANTCARE PHYSICIANS, PLLC
JOSEPH R. HARTMAN, MD
4525 3RD AVE SE STE 100
LACEY WA 98503-1010

Regence BlueShield Professional Fee Schedule update ***Confidential and Proprietary***

Dear RADIANTCARE PHYSICIANS, PLLC:

Regence BlueShield will implement a fee schedule update for all professional services effective January 1, 2016. The update is comprehensive and impacts all types of providers contracted with Regence.

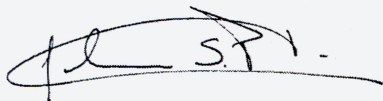
Updated fee schedules will be posted on the Regence Provider Center on October 1, 2015. If you use OneHealthPort, login to the Provider Center and select the Fee Schedules link. If you access the Availity Web Portal directly, at availity.com, select Payer Spaces (with the Regence logo), then Washington Provider Portal. Enter your Provider Center user ID and password and select the Fee Schedules link to view the documents. These documents supersede and replace any prior commercial fee schedule documents.

The fee schedules have been updated for all provider types. Following is a brief overview of the changes. The details of the changes are available in the Provider Center.

- We are moving from the 2012 version of the Resource-Based Relative Value Scale (RBRVS) to the 2015 version of RBRVS. Allowed amounts are based on 2015 Relative Value Units (RVUs), site of service, without geographic adjusters.
- Because of the version change to RBRVS, the conversion factor(s) utilized to determine the fee schedule amounts will also change.
- Regence will reimburse office based clinical laboratory (CLAB) services at 85% of the Centers for Medicare & Medicaid Services (CMS) CLAB fee schedule. This updated schedule will be posted after January 1, 2016.
- Oncology drugs will be reimbursed at 110% of CMS. Rheumatology drugs will reimburse at 105% of CMS. The updated fee schedules list the drugs which fall into each category. This updated fee schedule will be posted after January 1, 2016. Until then, the current drug fee schedule may be used to determine which drugs are currently categorized as oncology.
- The MD/DO allowed amounts for high volume office visit and preventative visit evaluation and management codes will increase as part of the update.
- The allowed amounts for ARNP/PAs and other mid-level providers have been changed to be in line with other major governmental and commercial payers.
- Durable medical equipment (DME) will be reimbursed at 85% of the CMS DME Prosthetics, Orthotics, and Supplies (POS) and of the CMS Parenteral and Enteral Nutrition (PEN) fee schedules. Modifiers must be submitted in accordance with these fee schedules. This updated fee schedule will be posted after January 1, 2016. For items not found on the CMS DMEPOS or PEN fee schedules, or not otherwise specified in the fee schedule, the maximum allowable fee will be determined by Regence.

We appreciate your continued participation in our networks and the care you provide to our members. If you have questions, please contact your provider relations representative. The phone number is available in the Contact Us section of our provider website at **regence.com**.

Sincerely,

A handwritten signature in black ink, appearing to read "J. S. Partin", with a horizontal line extending from the end.

John S. Partin
Vice President
Network Management